

- **CHAPTER TWO**
- **Human Resource Management Environments**
- *Chapter Outline:*
- 2.1. The external environment
- 2.2. The internal environment
- 2.3. Human resource management model
- *Chapter Objectives;*
- At the end of this chapter, students should be able to:
- Identify internal and external environments which affecting human resource management practice
- Describe human resource management models

Introduction

- Human resource management (HRM) is a subset of the study of management that focuses on how to **attract, hire, train, motivate, and maintain employees**.
- Strong employees become a source of competitive advantage in a global environment facing change in complex ways at a rapid pace.
- As part of an organization, HRM must be prepared to deal with the effects of these changes.
- This means understanding the implications of globalization,
- technology changes, workforce diversity, labor shortages, changing skill
- requirements, continuous improvement initiatives, the contingent workforce, decentralized work sites, company mergers, offshore sourcing of goods and
- services, and employee involvement.
- Let's look at how these changes are affecting HRM goals and practices in organizations functioning in a global environment

2.1 The external environment affecting HRM

- A. Economic Conditions :-

- 1.The population and the Labor Force
- 2. Labor Market Conditions:
 - Occupation ,Geography, Industry:
- 3. Product/Service Market:
 - Demands for products and services , Inflation ,Technology

- B. Government Influence

- | | | |
|---|----------------------------|--------------------------|
| • Equal employment opportunity
Compensation regulation | Sex and age discrimination | |
| • Benefit Regulations
regulations | Worker’s safety laws | Labor relations laws and |

- C.Union Expectations and power

- 2.2 Internal Environmental Conditions

- A. Strategies and Operational Objectives
- B. Financial Condition and Flexibility
- C. Nature of the Task
- D. Culture and Philosophy of Organizations

2.1 The external environment affecting HRM

• A. Economic Conditions

- **The population and the Labor Force** The qualification, attitude, job interest and motivations of people in the available workforce will influence human resource activities and ultimately the effectiveness of the organization.

- Population: Includes all the people

Impact of the labor force on the human resource function of an organization may include

- Percent of minorities and women in the workforce influences equal employment opportunity decisions.
- Qualifications and skills in the workforce influence need of training programs, design of jobs, etc.
- Availability of various skills and demand for these skills by employers influence salary and compensation decisions.
- The demand of the workforce for full-time or part-time jobs affects decision on work schedule

- **Labor Market Conditions:** The labor market involves the job opportunities and compensation offered by employers and the skills and contributions offered by employees.
- The scope of the labor market is influenced by three factors:
- **Occupation:** The skills and qualifications required in an occupation.
- This refers to required training, education, or even licensing requirement to perform a given type of job. E.g. accountant, medical doctors, lawyers, etc.
- this may limit mobility among occupations
- **Geography:** Distance employees are willing to relocate or commute.
- Supply of labor force could be limited to a specific geographic area or region. Example, supply of qualified human resource is very limited in some regions of Ethiopia.

- **Industry:** The industry in which the organization competes for labor and sells its products/services is also important.
- The more competition an organization faces in the industry the more it is expected to offer employees better compensation for their contribution.
- This becomes even more important if the supply of qualified employees is very limited.
- **Product/Service Market:**
 - **Demands for products and services:** The quality and quantity of people an organization hires and its ability to pay its employees is affected by the changes that occur in the product/service market.
 - For instance, in times of market growth, organizations increase employment levels while in times of market decline, organizations economize their use of human resources

- **Inflation:** It is the rate of change in prices we pay for goods and services. A change in inflation rate affects human resource management especially on cost-of-living adjustments (COLA) to salaries and pension plans. It also has impact on cost of recruiting interviewing, and training employees.
- **Technology:** Changes in technology will influence the nature of jobs to be performed and consequently the qualifications and skills of people required to perform them.
- **B. Government Influences:** Government regulations have direct impact on human resource management decisions by regulating terms and conditions of employment.
- Involvement and intervention of government in employee and employer relations is increasing over time. Some are of legislation and regulation includes:
 - Equal employment opportunity: it affects recruiting, selection, evaluation, and promotion directly and employment planning, orientation, career planning, training, and development indirectly.
 - Sex and age discrimination.

- Compensation regulation: specifying the minimum pay for any job, for employees with a certain educational level, etc.
- Hours of work, national holidays, etc.
- Benefit Regulations: In some countries government requires employers to have basic medical insurance plans for its employees.
- Worker's safety laws: affects health and safety programs in organizations.
- Privacy laws protecting employees' personal information.
- Labor relations laws and regulations: affects the conduct of collective bargaining.

- **C.Union Expectations and power:** Labor unions exist to protect employees' right in a more organized and effective way.
- Union's interest, expectation and power differ from one union to another.
- It depends on the kind of industry they are in, the number and involvement of its members and the response of the management to the demands and questions of the unions.
- However the case may be, the presence of a union directly affects most aspects of human resource management-recruiting selection, performance evaluation, promotion, compensation, and benefits, among other things.

2.2 Internal Environmental Conditions

- **A. Strategies and Operational Objectives:** Organizations have strategic and operational objectives determining the direction of the business.
- **B. Financial Condition and Flexibility:** Financial status of an organization has a particularly critical influence on personnel activities.
- If an organization is in a good financial condition, it is likely to increase the quantity of its employees or even offer higher salary increments to its employees.
- **C. Nature of the Task** The kind of employees found in a given organization is highly influenced by the kind of tasks/activities performed.
- **D. Culture and Philosophy of Organizations**
- Organizational culture refers to the —values, beliefs and traditions shared by all members in an organization.||
- If an organization has a well defined and practiced culture its employees should be able to feel comfortable to operate in that environment and adhere to the established culture

2.3 Human resource management model

The matching model of HRM

One of the first explicit statements of the HRM concept was made by the Michigan School (Fombrun *et al*, 1984).

They held that HR systems and the organization structure should be managed in a way that is congruent with organizational strategy (hence the name ‘_matching model’).

- They further explained that there is a human resource cycle which consists of four generic processes or functions that are performed in all organizations. These are:
- 1. *selection* – matching available human resources to jobs;
- 2. *appraisal* – performance management;
- 3. *rewards* – _the reward system is one of the most under-utilized
- 4. *development* – developing high quality employees

- **The Harvard framework**
- The other founding fathers of HRM were the Harvard School of Beer et al (1984) who developed what Boxall (1992) calls the Harvard framework
- The Harvard framework outlines four HR policy areas;
- **Employee influence**:- delegated levels of authority, responsibility, power
- **Human resource flow**:- recruitment, selection, promotion, appraisal, termination, etc
- **Reward system**:- pay system, motivation, etc
- **Work system**:- design of work and alignment of people
-
- Which in turn lead to the four —C's|| or HR policies that have to be achieved:
- Commitment
- Congruence (similarity)
- Competence (Ability)
- Cost effectiveness

CHAPTER THREE JOB ANALYSIS & Human Resource Planning

- **3.1. Meaning and definition of job analysis**
- A **job analysis** is a systematic exploration of the activities within a job.
- It is a technical procedure used to define a job's duties, responsibilities, and accountabilities.
- This analysis —involves
 - the identification and description of what is happening on the job accurately
 - precisely identifying the required tasks,
 - the knowledge, and the skills necessary for performing them, and
 - the conditions under which they must be performed
- Job analysis provides information about jobs currently being done and the knowledge, skills, and abilities that individuals need to perform the jobs adequately

3.2. Steps in job analysis

Job analysis begins with a clear understanding of the job and its link to organizational strategy.

HR next determines the tasks necessary to successfully complete the job, and then determines the skills necessary to complete those tasks.

Workers and supervisors need to be involved in the process

three different categories during the process of analyzing a specific job - **job content, job context and job requirements.**

1. Job Content: It contains information about various job activities included in a specific job. It is a detailed account of actions which an employee needs to perform during his tenure. The following information needs to be collected by a job analyst:

- **Duties of an employee**
- **What actually an employee does**
- **Machines, tools and equipments to be used while performing a specific job**
- **Additional tasks involved in a job**
- **Desired output level (What is expected of an employee?)**
- **Type of training required**

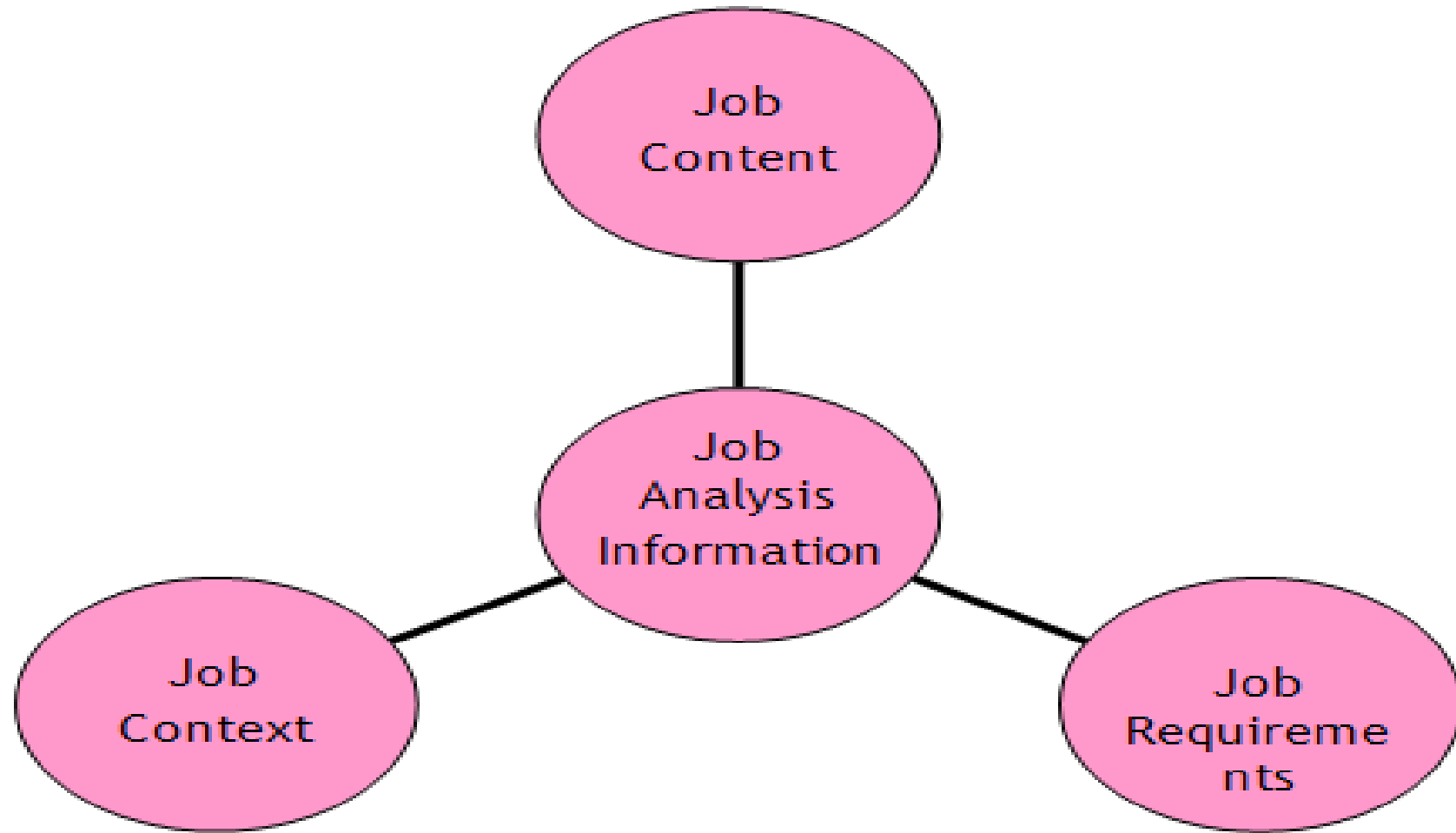


Fig 1.1 Categorization of Job Analysis Information

- The content depends upon the type of job in a particular division or department. For example, job content of a factory-line worker would be entirely different from that of a marketing executive or HR personnel.
- **2.Job Context:** Job context refers to the situation or condition under which an employee performs a particular job. The information collection will include:
 - Working Conditions
 - Risks involved
 - Whom to report
 - Who all will report to him or her
 - Hazards
 - Physical and mental demands
 - Judgment

- Well like job content, data collected under this category are also subject to change according to the type of job in a specific division or department.
- **3.Job Requirements:** These include basic but specific requirements which make a candidate eligible for a particular job. The collected data includes:
 - Knowledge or basic information required to perform a job successfully
 - Specific skills such as communication skills, IT skills, operational skills, motor skills, processing skills and so on
 - Personal ability including aptitude, reasoning, manipulative abilities, handling sudden and unexpected situations, problem-solving ability, mathematical abilities and so on
 - Educational Qualifications including degree, diploma, certification or license
 - Personal Characteristics such as ability to adapt to different environment, endurance, willingness, work ethic, eagerness to learn and understand things, behaviour towards colleagues, subordinates and seniors, sense of belongingness to the organization, etc
- For different jobs, the parameters would be different. They depend upon the type of job, designation, compensation grade and responsibilities and risks involved in a job.

- **3.3. Methods of collecting job analysis information**
- The basic methods by which HRM can determine job elements and the essential knowledge, skills, and abilities for successful performance include the following.
- **Observation Method** Provides information about jobs currently being done and the knowledge, skills, and abilities that individuals need to perform the jobs adequately.
- Using the observation method, a job analyst watches employees directly or reviews films of workers on the job.
- **Individual Interview Method**
- Meeting with an employee to determine what his or her job requires.
- The individual interview method assembles a team of job incumbents for extensive individual interviews.
- The results of these interviews are combined into a single job analysis.

- **Group Interview Method**

- Meeting with a number of employees to collectively determine what their jobs require.
- The group interview method is similar to the individual interview method except that job incumbents are interviewed simultaneously.

- **Structured Questionnaire Method**

- A specifically designed questionnaire on which employee's rate tasks they perform in their jobs.
- The structured questionnaire method gives workers a specifically designed questionnaire on which they check or rate items they perform in their job from a long list of possible task items.

- **Technical Conference Method**

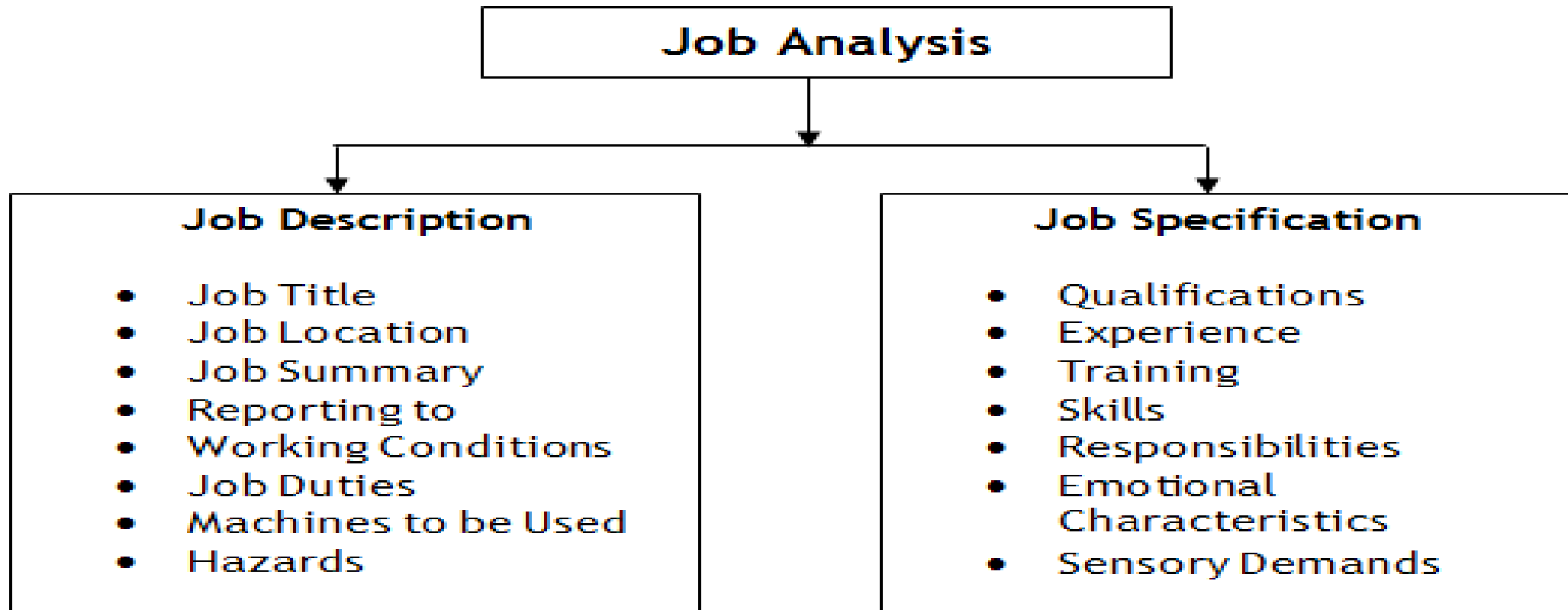
- A job analysis technique that involves extensive input from the employee's supervisor. The technical conference method uses supervisors with extensive knowledge of the job, frequently called subject matter experts.

- **Diary Method**

- A job analysis method requiring job incumbents to record their daily activities. The diary method requires job incumbents to record their daily activities.
- This is the most time consuming of the job analysis methods and may extend over long periods of time—all adding to its cost.

3.4. Importance of job analysis information

Job Analysis is a primary tool to collect job-related data. The process results in collecting and recording two data sets including **job description** and **job specification**.



- No matter what method you use to gather data, the information amassed and written down from the conceptual, analytical job analysis process generates three tangible outcomes: ***job descriptions and job specifications***, . Let's look at them one by one.
- ***A. Job Descriptions***
- Job description is a written record of the duties, responsibilities and requirements of a particular job.
- It is concerned with the job itself and not with the worker.
- It is a statement describing the job in such terms as its title, location, duties, working conditions and hazards

- Job description contains the following:
- **1. Job identification,**
- which includes the job title, alternative title, department, division, plant and code number of the job.
- The job title identifies and designates the job properly.
- The department division, etc. indicate the name of the department where it is situated.
- (eg. whether it is the maintenance department, mechanical shop etc.) The location gives the name of the place.
- **2. Job Summary** serves two important purposes.
- First it provides a short definition which is useful as additional identification information when a job title is not adequate.

- Second, it serves as a summary to orient the reader toward understanding of detailed information which follows.
- It gives the reader a — quick capsule explanation|| of the content of a job usually in one or two sentences.
- **3. Job duties** give us a comprehensive listing of the duties together with some indication of the frequency of occurrence or percentage of time devoted to each major duty.
- It is regarded as the heart of a job.
- **4. Relation to other jobs:** This helps us to locate the job in the organization by indicating the job immediately below or above it in the job hierarchy.
- It also gives us an idea of the vertical and horizontal relationships of work flow and procedures.
- **5. Supervision:** Under it is given the number of persons to be supervised along with their job titles, and the extent of supervision involved – general, intermediate or close supervision.

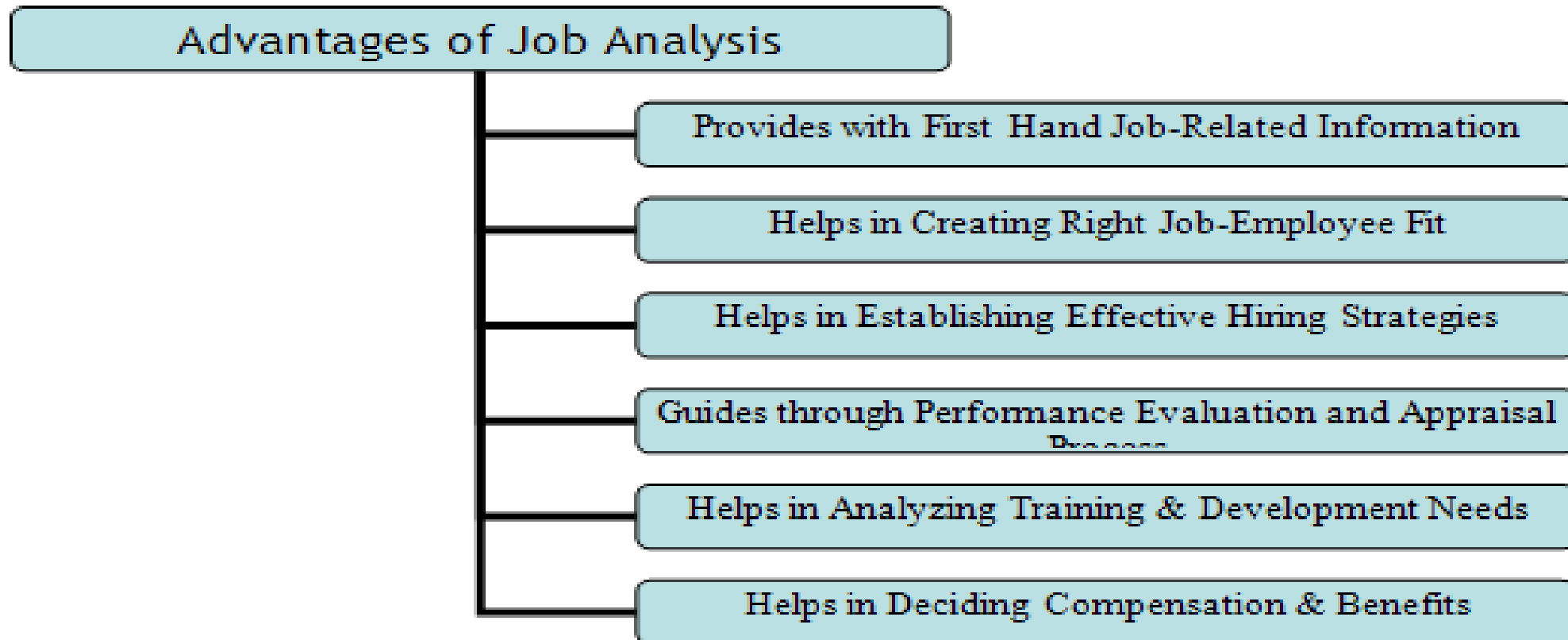
- **6. Working conditions** usually give us information about the environment in which a job holder must work.
- These include cold, heat, dust, wetness, moisture, fumes, odor, oily conditions, etc. obtaining inside the organization.
- ***B. Job Specifications***
- The **job specification** states the minimum acceptable qualifications that the incumbent must possess to perform the job successfully.
- Based on information acquired through job analysis, the job specification identifies pertinent knowledge, skills, education, experience, certification, and abilities.

- **Job specifications relate to:**
- a) **Physical characteristics**, which include health, strength, endurance, age-range, body size height, weight, vision, voice, poise, eye, hand and foot co-ordination, motor co-ordination, and color discrimination.
- b) **Psychological characteristics** or special aptitudes which include such qualities as, mechanical aptitude, creativity, judgment, resourcefulness, analytical ability, mental concentration and alertness.
- c) **Personal characteristics** traits of temperament such as personal appearance, good and pleasing manners, emotional stability, aggressiveness or submissiveness, extroversion; or, introversion, leadership, cooperativeness, initiative and drive, skill in dealing with others, unusual sensory qualities of sight, smell, hearing, adaptability, conversational ability, etc.
- d) Responsibilities which include supervision of others, responsibility for production, process and equipment; responsibility for the safety of others; responsibility for generating confidence and trust; responsibility for preventing monetary loss.
- e) Other features of a demographic nature, which are age, sex, and education experience and language ability.

• 3.5 Advantages and Disadvantages of Job Analysis

• Though job analysis plays a vital role in all other human related activities but every process that has human interventions also suffers from some limitations. The process of job analysis also has its own constraints. So, let us discuss the advantages and disadvantages of job analysis process at length.

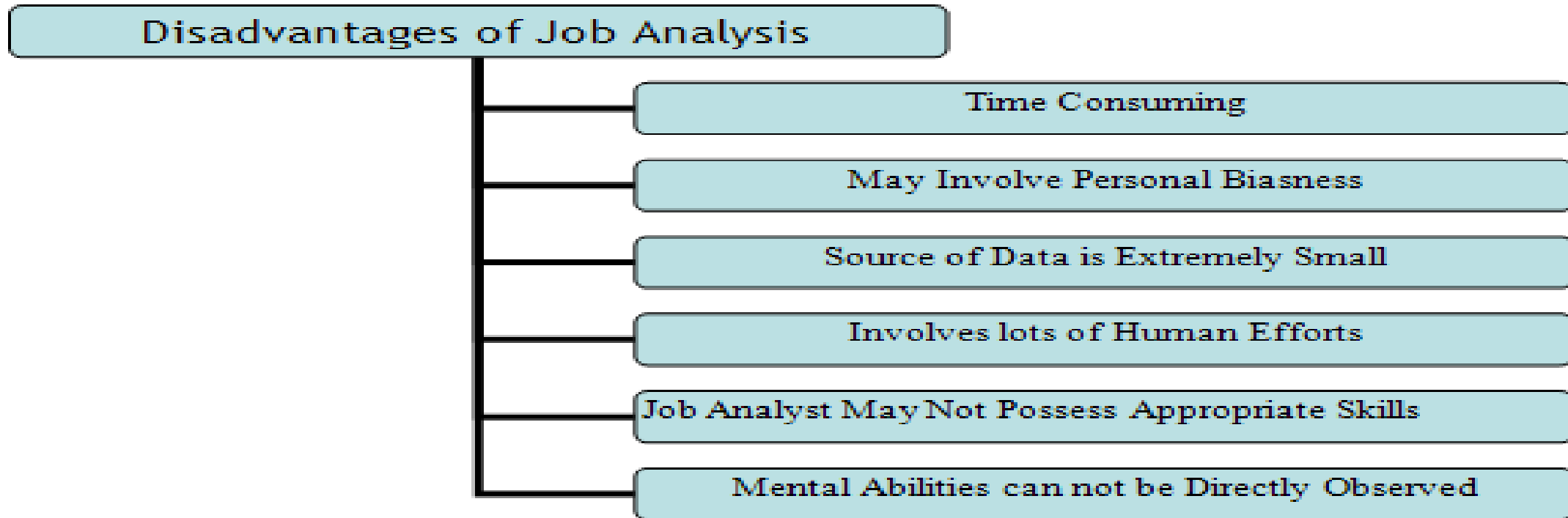
• Advantages of Job Analysis



- **Provides First Hand Job-Related Information:**
- The job analysis process provides with **valuable job-related data** that helps managers and job analyst the duties and responsibilities of a particular job, risks and hazards involved in it, skills and abilities required to perform the job and other related info.
- **Helps in Creating Right Job-Employee Fit:** This is one of the most crucial management activities. Filling the right person in a right job vacancy is a test of skills, understanding and competencies of HR managers. Job Analysis helps them understand what type of employee will be suitable to deliver a specific job successfully.
- **Helps in Establishing Effective Hiring Practices:** Who is to be filled where and when? Whom and how to target for a specific job opening? Job analysis process gives answers to all these questions and helps managers in creating, establishing and maintaining effective hiring practices.
- **Guides through Performance Evaluation and Appraisal Processes:**
- Job Analysis helps managers evaluating the performance of employees by comparing the standard or desired output with delivered or actual output.

- On these bases, they appraise their performances.
- The process helps in deciding whom to promote and when.
- It also guides managers in understanding the skill gaps so that right person can be fit at that particular place in order to get desired output.
- **Helps in Analyzing Training & Development Needs:** The process of job analysis gives answer to following questions:
 - Who to impart training?
 - When to impart training?
 - What should be the content of training?
 - What should be the type of training: behavioral or technical?
 - Who will conduct training?
- **Helps in Deciding Compensation Package for a Specific Job:** A genuine and unbiased process of job analysis helps managers in determining the appropriate compensation package and benefits and allowances for a particular job. This is done on the basis of responsibilities and hazards involved in a job.

- **Disadvantages of Job Analysis**



- **Time Consuming:** The biggest disadvantage of Job Analysis process is that it is **very time consuming**. It is a major limitation especially when jobs change frequently.
- **Involves Personal Biasness:** If the observer or job analyst is an employee of the same organization, the process may involve his or her personal likes and dislikes. This is a major hindrance in collecting genuine and accurate data.

- **Source of Data is Extremely Small:** Because of small sample size, the source of collecting data is extremely small. Therefore, information collected from few individuals needs to be standardized.
- **Involves Lots of Human Efforts:** The process involves lots of human efforts. As every job carries different information and there is no set pattern, customized information is to be collected for different jobs. The process needs to be conducted separately for collecting and recording job-related data.
- **Job Analyst May Not Possess Appropriate Skills:** If job analyst is not aware of the objective of job analysis process or does not possess appropriate skills to conduct the process, it is a sheer wastage of company's resources. He or she needs to be trained in order to get authentic data.
- **Mental Abilities Can not be Directly Observed:** Last but not the least, mental abilities such as **intellect, emotional characteristics, knowledge, aptitude, psychic and endurance are intangible things that can not be observed or measured directly.** People act differently in different situations. Therefore, general standards can not be set for mental abilities

3.6 Meaning and definition of Human resource planning

- Human Resource Planning is concerned with planning the future manpower requirements in the organization.
- HR manager ensures that the company has the right type of people in the right number at the right time and place, who are trained and motivated to do the right kind of work at the right time.
- **Meanings and Basic Concepts**
 - Human resource planning is the process by which an organization ensures that it has the right number and kinds of people, at the right places, at the right time,
 - Capable of efficiently and effectively completing those tasks that will help the organization achieve its over all objectives (Decenzo & Robbins)
 - Human resource planning can be defined as "a process by which an organization should move from its current man power position to its desired man power position"(E.W. Petter).

- Through planning management strives to have the right number and right kind of people, at the right places, at the right time, doing things,
- which result in both the organization and the individual receiving maximum long-term benefits.
- According to Leon C. Meggison, human resource planning is "an integrated approach to perform the planning aspects of the personnel function in order to have a sufficient supply of adequately developed and motivated people to perform the duties and tasks required to meet organizational objectives and satisfy the individual needs and goals of organizational members
- In this definition, human resource planning is valued as foreseeing the human resource requirements of an organization and the future supply of human resources and, making necessary adjustments between these two and organizational plans

- **3.7. Importance of human resource planning**

- HRP is important for a nation, organization and employees.

- **National importance of HRP**

- At the national level it helps the government to forecast the demand and supply of human resource for the country and to take steps
- to adjust the demand by altering its economic, industrial and agricultural policies and adjust the supply through its population policy, family planning, and educational policy.
- It also serves the government to plan for occupational distribution, sectoral and regional allocation of human resources.

Organizational importance

HRP anticipates not only the required kind and number of employees but also determines the action plan for all functions of HRM.

These action plans serve the organization in different ways.

The major payoffs of HRP are

It checks the corporate plan of the organization.

The corporate plan of the organization regarding expansion, diversification, technological change, etc., should be packed up by the availability of human resources.

If it is anticipated that the required manpower will not be available, then the HRP suggests the need for modification of corporate plans.

It offsets uncertainty and change.

HRP offsets uncertainties and changes to the maximum extent possible and enables the organization to have right men at the right time and the right place.

Without the HRP, everything regarding requirement, availability, and internal

- It helps in anticipating the cost of salary, benefits, and all other human resource functions and this in turn facilitates the formulation of budget on an organization.
- It tries to foresee the need for redundancy and plan to solve it or to provide for alternative employment in consultation with trade unions, other organizations .
- Avoidance of disruption in production.
- Through well-developed recruitment and training policy, HRP estimates the future human resources needs that production .
- Promotes equal employment opportunity.

- ***Employee importance***

- Creates more satisfied and better-developed employees: HRP provides scope for advancement and development for employees through training, development and succession planning.
- Thus employees are likely to feel their talents are important to the employer, and they have better chance to utilize their talents.
- This situation often leads to greater employee satisfaction and its consequences like lower absenteeism, lower turn over, fewer accidents, higher quality of work etc.
- It helps to satisfy the individual needs of the employees for promotions, transfers, salary enhancement, better benefits etc.

- It gives an idea of the type of tests, interviews, and other techniques of selection based on the level of skills, qualifications, intelligences etc., of future human resource.
- Serve as a guide for coordination of different personnel programs such as recruitment, selection, training and development of employees
- It facilitates the control of all the functions, operations, contribution and cost of human resource.
- **Steps [procedures] in human resource planning**
- The following figure illustrates the steps involved in human resource planning

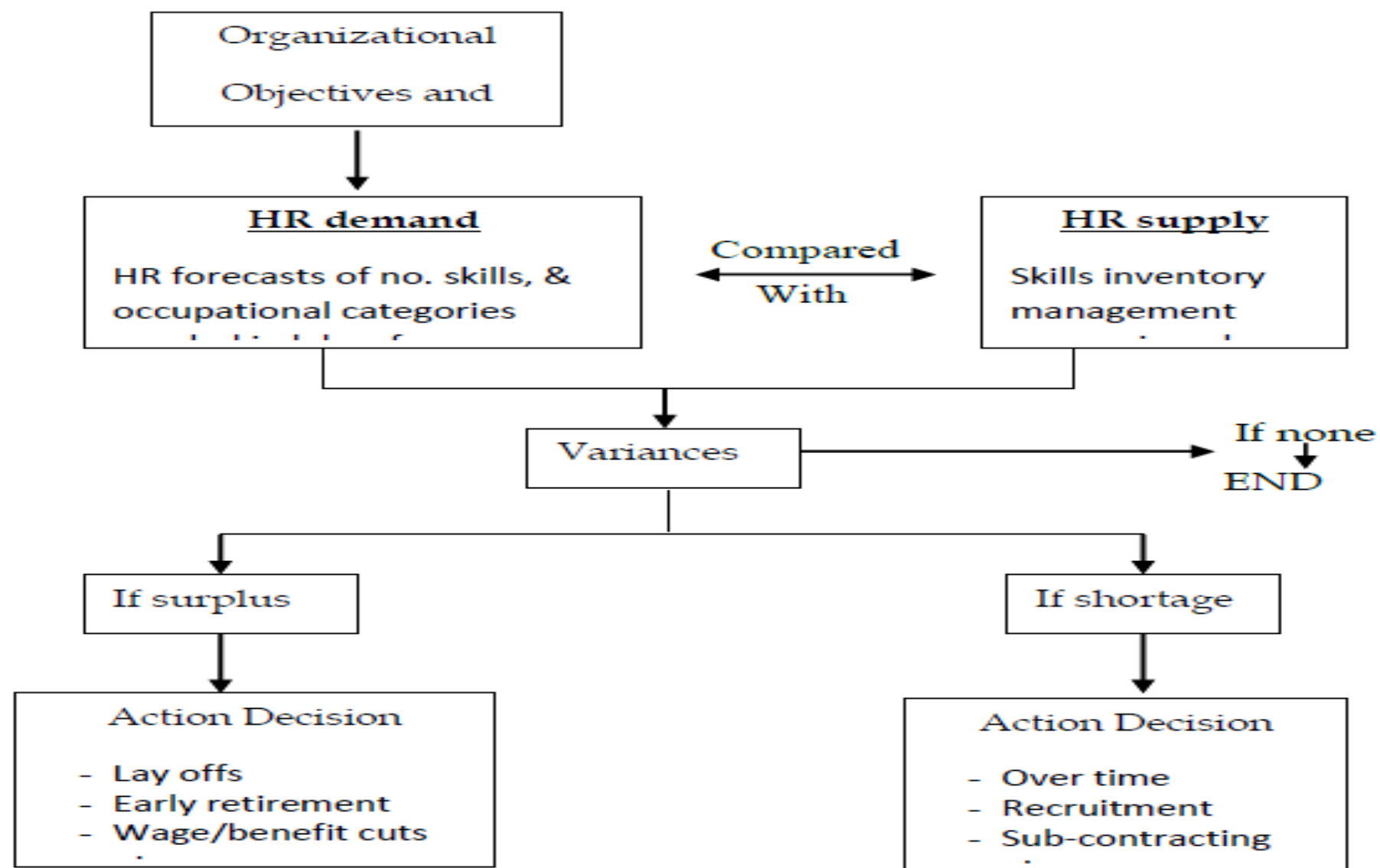


Figure 3.1: Human Resource Planning Process

- The process of HRP broadly involves the following process stages.
- **1. Analysis of Organizational Plans and Objectives**
- Human resource planning is a part of overall plan of organization.
- Plans concerning technology, production, marketing, finance, expansion and diversification give an idea about the volume of future work activity. Each plan can further be analyzed into sub-plans and detailed programs.
- It is also necessary to decide the time horizon for which human resource plans are to be prepared.
- The future organization structure and job design should be made clear and changes in the organization structure should be examined so as to anticipate its manpower requirements.

- **2. Forecasting Demand for Human Resources:**

- Estimation of future demand for human resources is the core of any organizations human resource planning process.
- Most organizations predict their future employee needs, at least informally, even if they do not estimate their sources of supply.
- Demand forecasting is the basis on which manpower planning is built.
- Almost all HRP begins by determining future human requirements.
- HR demand forecasting is the process of estimating as closely as possible, how many and what type of employees the organization will need in each job category by the end of the planning period to do the work that will have to be done.
- The basic fact to be remembered is that the estimation at this stage is a rough projection as HR in an organization constantly changes in terms of quantity and quality.

- **3. Forecasting supply of human resource**
- Once future demand for manpower is projected, the next major concern is how to fill projected openings.
- There are two major sources of supply of manpower for an organization.
- These are:
 - **I. Internal source of supply**- includes present employees who can be promoted, transferred, or demoted to fill external openings
 - **II. External source of supply** - consist of people who do not work for the organization currently like employees of other organization and the unemployed group of the society.

- **Requirements for human resource supply forecasting**
- To begin planning how to satisfy manpower the planner should have:
 - A clear picture of forward manpower requirements in each category (may be based on function, level of position, skill level, age etc)
 - A clear picture of current manpower inventory in each category, using the same basis
 - Data on manpower flows through the structure, loss rates, additions and other factors result in change in current inventory
 - Data on availability of various skills and experience required to be recruited from external sources (external supply analysis .
- **4. Estimating Manpower Gaps:**
- Net human resource requirements or manpower gaps can be identified by comparing demand and supply forecasts.
- Such comparison will reveal either deficit or surplus of human resources in future.

- Thus, the **possible outcomes** of this stage can be.
- **a. *Future supplies more or less matches future demand***: In this case, the result of net human resource equals zero. However, such situation really exists in reality, unless the organization is small, stagnant, the workforces and the environment is stable.
- **b. *Future supply exceeds future demand for human resource***: In this case the result of net human resource requirements will be negative, which indicates that there is surplus / excess manpower in an organization.
- This situation is more likely if there are downsizing and contraction of a business may be due to bad economic situation, competition or legal restrictions.
- **c. *Future supply falls short of /less than future demand for manpower***: This indicates shortage in manpower. Shortage in manpower is likely to occur in large and expanding organization, where there is high turnover, and stiff competition for labor.

- **5. Matching Demand and Supply:**
- It is one of the objectives of human resource planning to assess the demand for and supply of human resources and match both to know shortages and surpluses on both the side in kind and in number.
- This enable the human resource department to know overstaffing or understaffing.
- Once the manpower gaps are identified, plans are prepared to bridge these gaps.
- Plans to meet the surplus manpower may be redeployment in other departments and retrenchment in consultation, with the trade unions.
- People may be persuaded to quit through voluntarily retirement
- Deficit can be met through recruitment, selection, transfer, promotion, and training plans.

- **Options to address shortages**
- **Short -term options**
 - Increase overtime or part time
 - Increase contact works
 - Increase productivity through training
- **Long-term options**
 - New hires
 - Permanent transfer in worker
 - Training and development
 - Transfer work -out permanent

- **Options to Address Surplus**

- **Short -term options**

- Freeze hires
- Reduce part-time or part-time
- Transfer work -in tempera rely
- Temporary assignment to other units

- **Long-term options**

- Freeze hires
- Permanent transfer -out of worker
- Retrenchment

- **3.9. Factors Affecting Human Resource Planning**

- Human resource planning process can be affected by different factors.
- The process of estimating demands and supplies of manpower as well as the action programs to be implemented are influence by various factors.
- These factor can be broadly categorized as External and internal.

- **3.9.1. External Factors**

- External factors are forces outside the organization, which directly or indirectly affect the HRP process of an organization.
- Some of these external forces include.
- 1. Government:
- a major element that affects labor demand and supply is the government.

- ***Some of these laws may include:***

- Taxation policies
- Wage and work hours laws
- Pension provisions and social security legislation.
- Employee health and safety laws
- ***2. Economic Conditions:*** Economic conditions like business cycle, interest rate, inflation, economic growth rate, per capita income etc, determines the plans and objectives of the organization and consequently the requirements and availability of workers.
- Decision on wages, hiring, training and development, lay-off workers all hinge on economic condition.
- Example, in good economic conditions organizations can pay better salaries and able to attract qualified individual.

- **3. Social Conditions:** - The society is the sources of manpower.
- Thus the diversity of the workforce is the result of social conditions.
- The major social factors are the culture and the demography
- **Societal culture:** refers to the belief and customs of a society that affect the attitude, the behavior and ethics of a workforce.
- The changing attitudes, beliefs and viewpoints have confronted personnel departments in the form of requests for longer vacations, more holydays and non-traditional work schedules.
- In addition, attitude about honesty, commitment to work, believe on teamwork, attitudes toward HIV / AIDS victims are the results of societal culture and attitude.
- **Demography:** defines composition of workforce in terms of educational level, ethnicity, age, sex, population number, birth rate, death rate, percentage of population participating in the workforce and other characteristics.

- **4. Technological challenges:** - Technology impacts HRM by changing the product, production technique, or the skills required.
- The innovation of computer and robotics are some of the results of technological changes.
- The introduction of computers changed employment needs.
- The introduction of computer however, reduced the number of unskilled labor, and Introduced the need for highly skilled programmers and system analysts.
- **5. Competition for labor:** The existence of other employers in the area can greatly expand or diminish the labor supply.
- The Opening of a new business in the area may decrease the supply of potential employees in a labor market.
- Sometimes, however, other competing business can be a source for especially contingent employees.
- In addition to local competition, **international competition** is also part of external environment.

Internal factors

- **1. Organization's strategies and objectives:** the long -range objectives of an organization like growth rates, new product development, and enlargement of market coverage, diversification and so on affect HRP.
- **2. Organizational size and structure:** the size of the organization (whether it is large or small) determines the manpower needs of an organization.
 - Jobs are the basic units of organizational structure.
- **3. Organization culture and management philosophy:** an organizational culture is a predominant system of beliefs and values held in an organization by its members.
 - It is a pattern of basic assumptions which has been considered valid and taught to new members as the correct way to perceive, think, and behave in relation to some problems.
 - E.g. it may be the culture of the organization to promote employees based on seniority.

- **4. Work force factors:** the demand for human resources is modified by such employee actions as retirements, terminations, death, leaves of absence, lateness and so on.
- The rate of maternity leave, sick leave, workers' death due to spread of epidemic & HVI/AIDS will significantly affect more and more organizations and their human resource plans.
- **5. Labor union:** labor union is a group of employees acting collectively to promote their common interest.
- **6. Organizations financial ability:** the financial strength of an organization to pay compensation to the existing workers and to attract additional workers affects its HRP.
- **7. Organization of HRP activities:** This shows to whom HRP responsibilities are assigned and how it is carried out.
- HRP can be carried out and line departments may be given an authority to prepare their manpower plan.

- **8. The nature of the jobs & tasks:** - the simplicity/ complexity of the tasks in the job and other aspects affect HRP
- **Problems of human resource planning**
- Though HRP is beneficial to the organization, employees and labor unions, some problems may crop up in the process of HRP. Some of these are:
 - 1. Uncertainties due to changes. Human resource planning suffers problem of preparing long range forecasts accurately due to uncertainties in future turnover, recruitment etc, and changes in economic, technological, marketing, legal and labor conditions.
 - 2. Inadequacies of information system. HRP requires a well-developed Human Resource Information System (HRIS). However, this has not yet fully developed in most organizations (in developing countries) due to the level of technology, low status given to HR department, and less importance attached to HRP.
 - 3. Resistance by employers. Many employers resist HRP as they think that it increases the cost of manpower as trade unions demand for employees based on the plan, more facilities and benefits including training and development.

- 4. Resistance by trade unions and employees.
- Trade unions and employees also resist HRP as they view that it increases the workload of employees and prepares programs for securing the human resources mostly from outside.
- In addition to the above problems, HRP may suffer from the following specific problems:
 - - Lack of top managements support.
 - - Difficulty to coordinate HRP and other human resource activities.
 - - Impediments to strike harmonious balance between quantitative and qualitative aspects of HRP.
 - - Skepticism and growing mistrust from the side of operating managers. HRP requires active participation and coordinated efforts of operating managers.
 - - Human resource specialists' has lack of proper understanding of the HRP.